



A BEGINNERS GUIDE FOR EXPORTS FROM KARNATAKA



Mr. Ambitious and his business woes

Mr. Ambitious is an experienced professional who now plans to start his own firm which produces high precision engineering goods. His ambition and hard work led him to master the complexities in manufacturing and quality processes but he did not have exposure to the global markets. He meets Export Coordinator Mr. Guidance from Visvesvaraya Trade Promotion Centre (VTPC).



As I stand on the brink of entrepreneurship, my vision for a company specializing in high precision engineering goods is clear, yet the reality of my business's growth is not. I'm grappling with the complexities of manufacturing and quality processes, but my lack of exposure to global markets is a glaring gap.

That's a common problem faced by many small and medium enterprises (SMEs) in India. But don't worry, there is a solution for your problem. If you are considering to export your products to foreign markets, we would encourage you to go ahead.



Exporting can significantly boost your business in these ways:

- 1 Expand Your Market Reach:** Imagine reaching customers beyond borders—your products could be in demand worldwide.
- 2 Increase Revenue:** Export sales can add a new revenue stream and diversify your income.
- 3 Enhance Brand Visibility:** Going global puts your brand on the map and builds credibility.
- 4 Access New Opportunities:** Explore untapped markets and discover fresh business prospects.
- 5 Reduce dependence on domestic market:** Mitigate risks associated with domestic markets which can be volatile and unpredictable.

Exporting may seem like a hassle, but it's fairly straight forward. You just need to follow some simple steps and procedures, and you'll be on your way to exporting success. And you're not alone in this journey. We can provide you with information, guidance, training, incentives, and facilitation to help you export your products.



That sounds impressive, Mr. Guidance. But how can I export my products? I don't have any contacts or networks in foreign markets. I don't have any experience or knowledge in exporting. I don't have any resources or support to export.

Overview

PRE REQUISITES

- Product ideation
- Finalizing location
- Land allocation

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- Digital Signature Certificate (DSC) Registration
- Firm Registration
- Get PAN
- Open Bank A/c
- GST Registration

2

- IEC Code registration
- RCMC EPCs or FIEO
- ICEGATE registration
- Port registration
- AD Code
- REX (for EU)

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MARKET & PRODUCT ANALYSIS

- Identify Product
- Country to export
- Thorough analysis of data

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- Analyse Free Trade Agreements (FTAs), and Most Favoured Nation (MFN) status
- Check Government incentives

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Thank you, Mr. Guidance, for explaining the general process of trading. But I have to admit, I am still a bit confused about some of the details. For instance, how do I find reliable buyers and partners in foreign markets and what are the detailed processes for logistics?

Now you're going in the right direction, Mr. Ambitious. To address your curiosity, let me take you on a brief tour of the world of exporting and how we can navigate it together.



Pre-Requisites

Welcome to the beginning of your export journey! As we proceed with the firm related registrations, let's first ensure you have your Digital Signature Certificate and check your company name on the MCA portal. Once these initial steps are completed, we'll move on to registering your company and obtaining your PAN.



Firm Related Registrations

1. Register for Digital Signature Certificate

- Directly approach Certifying Authorities (original supporting documents, and self attested copies will be sufficient in this case).
- Wherever offered by CA, use Aadhar e-KYC based authentication.

2. Register Firm

- Check the company name on Ministry of Corporate Affairs (MoCA) portal
- Obtain pre-registration documents such as Digital Signature Certificate (DSC - mandatory), Director Identification Number (DIN), Memorandum of Association (MoA), Articles of Association (AoA), as per applicability
- Select preferred business type - Private Limited, Partnership Firms, Limited Liability Partnerships, Sole Proprietorship, One Person Company
- Register the company online on MoCA portal

3. Get PAN

- Apply through the NSDL website

4. Open Bank A/c

- Open current account in any of the scheduled commercial banks within 180 days of firm incorporation

5. GST Registration

- Visit the GST portal and fill Part-A of the GST registration application.
- Receive a Temporary Ref. Number (TRN) and complete Part-B details within 15 days.

6. Udyam Registration (for MSMEs) - Not Mandatory

- Apply through the Udyam website

Pre-Requisites

As we move forward with your export related registrations, obtaining your IEC Code is our first priority, as it's mandatory for both importing and exporting. Following that, we'll focus on securing your RCMC from the relevant Export Promotion Councils, which is essential for availing benefits under the Foreign Trade Policy.



Export Related Registrations

1. Get IEC Code registration (mandatory)

- The Importer Exporter Code (IEC) is a 10-digit number which is same as the PAN of the firm, but IEC is separately issued by the Directorate General of Foreign Trade (DGFT) and is mandatory for importing and exporting.

2. Registration Cum Membership Certificate (RCMC)

- Required by the exporters to avail benefits under the Foreign Trade Policy and the Customs and Excise.
- Issued by the Export Promotion Councils (EPCs)/Commodity Boards/Development Authority of the respective good being exported.

3. Federation of Indian Export Organization (FIEO)

- Required when the product being exported is not covered under any of the EPCs/Commodity Board/Development Authority, then the exporter needs to get the RCMC from FIEO.

4. Indian Customs Electronic Gateway (ICEGATE) Registration

- Official portal of Indian Customs of Central Board of Indirect Taxes and Customs to enable filling of online Shipping Bills, Bill of Entries and other documents.
- E-filing services to Trade, Cargo Carriers and other Trading Partners electronically.

5. Port Registration (AD Code Registration)

- Authorised Dealer Code (AD code) registration on ICEGATE portal is required to be done for each port separately to ensure foreign currency transactions in the exporter's current bank account are from authenticated means.

6. Registered Export System (REX - mandatory for exports in EU)

- A self certification scheme is needed when the value of consignment exported in EU countries is above EUR 6000.
- For obtaining the certificate, the IEC number and the exporter's profile is sufficient.

Product and Country Identification

Market Intelligence

1. Understand the Harmonised System (HS) code of the products

- Determine the HS code for your product, which is an internationally standardized system of names and numbers to classify traded products.

2. Use Market Intelligence tools to analyse products and target countries

- ITC Trade Map and ITC Market Access Map
- Directorate General of Commercial Intelligence and Statistics (DGCIS) and Indian Trade Portal
- Vanijya Mitra portal of VTPC

3. Evaluate the Tariffs such as Customs Duty and GST

- Refer to the Indian Trade Portal to find the specific rate of duty applicable.
- GST is not levied on exports. Exporters have the option to export under bond/Letter of Undertaking without payment of tax and claim a refund of the Input Tax Credit (ITC).

4. Understand the Non-Tariff measures (technical) such as:

- Sanitary and phytosanitary (SPS) measures focusing on food safety, animal health and plant health.
- Legal requirements ensuring product safety and consumer protection.
- Environmental regulations (emissions standards, waste disposal regulations, and eco labeling).
- Differing product (e.g., size, quality, composition) and quality standards.
- Proper documentation (e.g., user manuals, technical specifications) and labeling requirements.

5. Understand the Non Tariff measures (non technical) for the product

- | | |
|--|---------------------------------------|
| • Contingent measures | • Government procurement restrictions |
| • Licensing and quotas | • Intellectual property |
| • Price control measures | • Rules of origin |
| • Competition measures | • Export quotas and prohibitions |
| • Subsidies and other forms of support | |

6. Understand India's Trade Agreements with other countries using India Trade Portal

- Analyse duty exemptions in the target countries for the product.

Evaluate Export Related Incentives

Let me emphasize the importance of meticulously checking the incentives available for exporters. These incentives are not just perks; they are essential tools that can dramatically reduce your costs and increase your profitability. By staying informed and taking full advantage of these schemes, you position your business to succeed on the global stage, ensuring you don't miss out on any opportunities to enhance your export operations.



Incentives Offered by Government of India*

- Duty drawback (customs duty paid on inputs for export production) issued by Custom department directly to exporter account.
- Status Holders who excel in exports year on year preferential treatment in exports offered by Customs.
- Duty exemption issued by DGFT for import of raw materials and machinery used for exports.
- Interest Equalisation Scheme by RBI on pre and post shipment rupee export credit.
- Rebate of State and Central Taxes and Levies (RoSCTL) Scheme to rebate all embedded State and Central Taxes/levies for meant for exports of made up articles of textiles and garments.

Incentives by Government of Karnataka under New Industrial Policy 2020-25*

- Electricity tax exemption for new MSMEs whose exports are minimum 50% of their turnover, for a period of 5 years in Zone 3 (Bengaluru Urban & Rural).
- Performance subsidy for new MSMEs that double their exports in subsequent years shall be paid 1% of Freight On Board (FOB) value, maximum Rs 10 lakhs per unit.
- Reimbursement of Bank charges for obtaining Electronic Bank Realisation Certificate (EBRC) - Maximum Rs 1 lakh/unit.
- Reimbursement of Export Credit Guarantee Corporation of India Limited (ECGC) charges for MSMEs - Maximum 1 lakh/unit.
- Refund of certification charges incurred during obtaining statutory certification Rs 1 lakh/unit.
- Refund of course fees for Export Import management course offered by IIFT Delhi or others Rs 25,000 (max) per candidate up to 1 lakh/unit.
- Market Development Assistance (MDA) to participate in international trade fairs: South American countries assistance up to Rs 1.75 lakh and all other countries up to Rs 1.50 lakh + Daily Allowance.
- MDAto participate in domestic trade fairs: Air/Train fare upto Rs 10,000 and Stall Rent up to maximum Rs 25,000 + Daily Allowance.

***Note:** The incentives offered by the Government change from time to time, owing to expiry, discontinuation, or amendments of the scheme. Please read latest scheme documents for updated incentives.

Buyer Outreach and Standards



Thank you, Mr. Guidance, for explaining the pre-requisites, market analysis, and incentives, but I'm concerned about finding the right buyers. How do I ensure I'm reaching out to credible trade partners and not just casting a wide net?

That's a valid concern. Identifying the right buyers is as crucial as the products you offer. We recommend leveraging trade fairs and exhibitions, Export Promotion Councils and Commercial Attachés of Indian Consulates, online marketplaces and trade directories for expanding your reach.

Once you've connected with potential buyers, it's imperative to align with both Indian and International quality standards to meet their expectations and comply with import regulations.



Buyer Identification and Outreach

The next step after identifying a target market is to find and connect with potential trade partners and business contacts through:

- Trade fairs and exhibitions
- Export Promotion Councils/ Commodity Board/ Development Authority
- Personal contacts
- Commercial Attaché of Indian Consulates in foreign countries
- Online marketplaces like Alibaba and Amazon
- Trade directories such as Kompass , Indiamart
- Once the buyer is identified, it is crucial to assess the certification and quality standards that the buyer or importing country may have.

Indian certifications

- Bureau of Indian Standards (BIS)
- Agriculture Mark (AGMARK)
- HALLMARK
- Food Safety and Standards Authority of India (FSSAI)
- Export Inspection Council (EIC)

International certifications

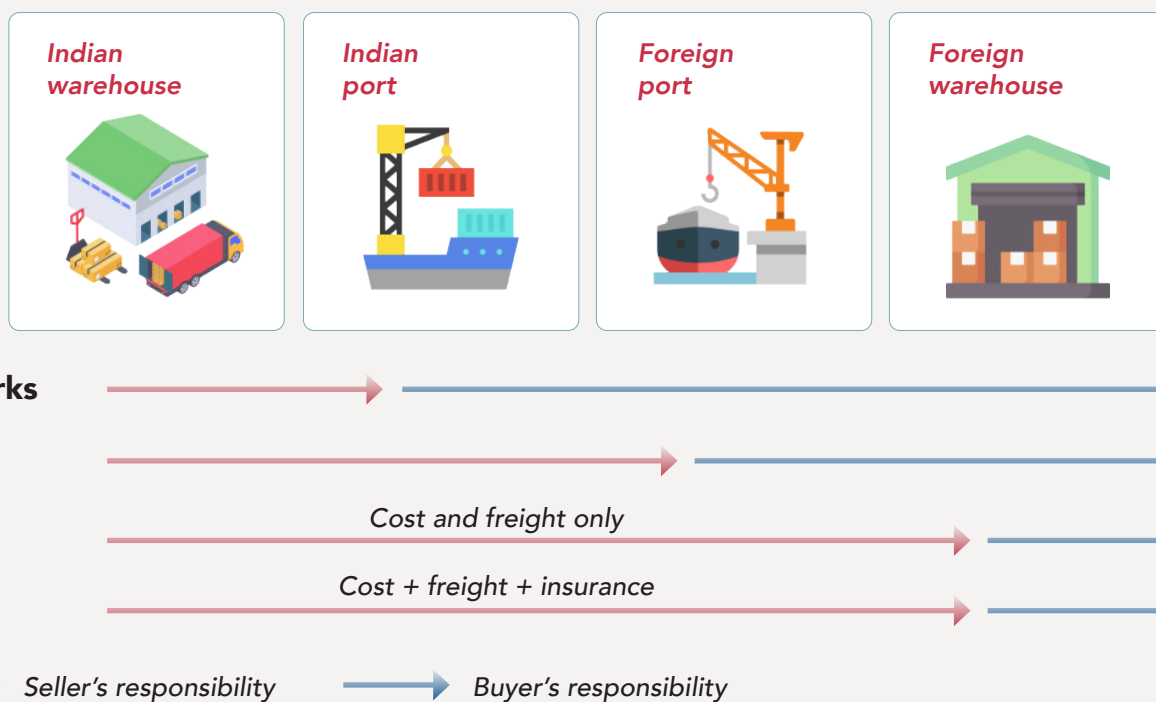
- International Organization for Standardization (ISO)
- European Conformity (CE)
- Voluntary Sustainability Standards (VSS)

Buyer's Commercial and Payment Terms

Commercial Terms

International Commercial Terms (INCOTERMS) are international commercial terms that clearly define the roles and the responsibility of exporter/importer in a trade transaction. Presently INCOTERMS 2020 is in vogue and there are 11 types of INCOTERMS under which trade responsibility is shared.

- **Ex-Works:** Title and risk pass to buyer including payment of all transport and insurance cost from seller's door.
- **Free on Board (FOB):** Seller is responsible for loading the cargo at his place, transporting it to port and loading it to ship/aircraft, bearing all custom charges.
- **Cost & Freight (CFR):** Seller chooses the carrier, bears the cost of carriage to the destination port, unloading not included.
- **Cost, Insurance & Freight (CIF):** Seller pays for loading on to ship/aircraft, pays custom duty and bears marine insurance cost.



Commercial Terms

Apart from the INCOTERMS, the payment terms must also be finalised with the buyer. Some of the common payment terms include:

- Open Account
- Cash Against Document (CAD) or Document Against Payment
- Document Against Acceptance (DA)
- Letter of Credits (LC)
- Advance payment

Finance and Insurance

Moving forward from the buyer's commercial and payment terms, let's focus on the lifeline of your export journey - Export Financing and Insurance. In scenarios where advance payment or a letter of credit isn't feasible, you have a suite of financing options to ensure your cash flow remains uninterrupted. Pre Shipment and Post Shipment Credits, both in rupee and foreign currency, are available at different stages of your export process. Further, the insurers provides insurance covers to protect you against credit risks and exchange rate fluctuations.



Export Financing

After establishing the commercial and payment terms, it's crucial to delve into the various financing options available for export if advance payment or letter of credit option is not available. This step is essential to ensure a smooth and successful international transaction.



- Pre-Shipment Rupee Export Credit
- Pre-Shipment Credit in Foreign Currency
- Post-Shipment Rupee Export Credit
- Post-Shipment Export Credit in Foreign Currency
- Financing by EXIM Bank

Insurance

Export Credit Guarantee Corporation (ECGC) provides export credit insurance to the Indian exporters. The insurance covers that are provided include:

- Validation of the buyer (importer), ECGC red flags, the blacklisted importers.
- Credit Insurance covers the credit risk losses in export of goods and services under both short term and medium long term.
- Exchange Fluctuation Covers protect exporters against exchange losses under Medium Long Term Exports.
- ECGC has a range of products to cover the following risks:

- | | |
|---------------------------------------|---|
| ✓ Commercial Risks | ✓ War/civil war/revolutions |
| ✓ Insolvency of buyer LC opening bank | ✓ Import restrictions |
| ✓ Protracted Default of buyer | ✓ Exchange transfer delay embargo |
| ✓ Repudiation by buyer | ✓ Any other cause attributable to importing country |
| ✓ Political Risks | |

Finance and Insurance



While I've grasped the financial and insurance aspects of exporting, the array of required documents is still perplexing. Could you explain the paperwork involved in exporting goods?

Documentary requirements may seem daunting, but they're quite manageable. Briefly, the Commercial Invoice cum Packing List is your sale contract and item list for customs valuation. The Shipping Bill is your customs clearance application, where you declare any fiscal benefits. The Bill of Lading or Airway Bill is the carrier's cargo receipt and transport agreement. Lastly, the Certificate of Origin verifies your goods' production locale.



Commercial Invoice cum Packing List

A contract of sale issued by the exporter to the importer. It is sent to the Custom Broker for finalizing the document. The document helps the customs to determine the value of the goods and assess the duties and taxes that could be levied on them.

Shipping Bill or Bill of Exports

A document submitted by the exporter to the customs for getting a clearance from the custom department. The shipping bill also informs the custom department if any exemptions, rebate or refund on taxes and duties or any government incentive / benefits have been availed by the exporter.

Bill of Lading or Airway Bill

A bill of lading or Airway Bill is a legal document issued by a carrier to a shipper that details the type, quantity, and destination of the goods being carried, acknowledging the receipt of cargo for shipment.

Certificate of Origin

A bill of lading or Airway Bill is a legal document issued by a carrier to a shipper that details the type, quantity, and destination of the goods being carried, acknowledging the receipt of cargo for shipment.

Mandatory

- Bill of lading/Airway bill
- Commercial invoice cum Packing List
- Shipping bill/Bill of exports

Additional documents

- Export Licence (If goods are restricted)
- Certificate of Origin
- Certificate of Inspection
- Phytosanitary Certificate, Health Certificate, Animal Quarantine Certificate, Drug license etc. for specific commodities
- Any other document as agreed by buyer/seller

Arranging Logistics

Navigating the export landscape can be complex, but understanding the roles of various export facilitators can simplify the process. From Export Houses that bridge manufacturers with foreign markets, to Freight Forwarders who manage logistics, each entity plays a crucial part in ensuring your goods reach their global destinations efficiently and compliantly. Remember, a Custom House Agent can be your ally in dealing with customs procedures, leveraging their expertise to facilitate smooth transactions



Export Houses

Organisations that export the goods, produced by the manufacturers. These organisations have their agents and distributors stationed at the destination countries, with the help of whom they carry out and manage the export related activities:

- Manufacturer exporter
- Merchant exporter - trading organisations / middlemen between exporter and importer
- Export house
- State Export Corporations
- Export Consortia - formed by small scale manufacturers

Freight Forwarders and Other Intermediaries

- **Shipping lines:** A company that own and operates ships that transports the cargo shipment from origin country to destination country.
- **Ship brokers:** They match ship owners with importers or exporters that want to charter a vessel to transport their product.
- **Freight brokers:** They match shipments with land transportation, helping you find a way to get a delivery to its destination on schedule, usually by truck or rail.
- **Freight forwarders:** They help with all the above, assuming complete logistical, legal, and financial responsibility of a shipment.

Custom Brokers

Custom Broker, also known as Custom House Agent, is a person licensed under the Customs Act, 1962 to act as agent for the transaction of any business relating to the entry or departure of conveyances or the import or export of goods at any Customs Station.

Engaging a customs broker can be beneficial before finalizing any international trade agreements. Their expertise ensures a smooth customs clearance process and helps plan logistics in advance. They advise on agreement terms and conditions, minimizing potential issues later on. By having a custom broker's support from the start, you can safeguard your cargo's smooth passage through customs and ensure timely delivery.



Steps Followed by Custom Brokers

Booking Shipping Line

- **Through freight forwarder:** Freight forwarder offers various carrier options to choose from, hence exporter can select a carrier that meets their requirements. Also freight forwarders offer door to door service, i.e. goods are collected from the point of origin and are sent to the final delivery point.
- **Through shipping lines:** Exporter can book directly with the shipping line, without the involvement of an intermediary. Shipping lines generally provide port to port service and can customize the fees and charges as per shipment.

Container Allocation and Loading

- Full Container Load (FCL)
- Less than Container Load (LCL)

Container Loading

When the goods are required to be sent to the shipping port, then the exporters rely on the logistic companies for support. Logistic companies provide picking, packing, warehousing and transportation services.

Sanitary Certificates

- Fumigation Certificate
- Phytosanitary Certificate

Verification and Sealing

The Customs Department will randomly do physical examination of the goods and if found to be satisfactory, the container is sealed, and a Let Export Order (LEO) is issued. The custom officer at the gateway port would verify the integrity of the E-seal with a unique RFID tag by using reader scanners.

Cargo Loading

Finally, the container cargo is loaded on the ship and the shipping line/freight forwarder issues the Bill of Lading, certifying that the shipment has been loaded.

ICEGATE Update

Export General Manifest (EGM) is a document that needs to be submitted on the ICEGATE portal. It is issued by the carrier, declaring that the consignment and packages have been loaded and need to be exported.

Happy Exporting



Once the shipment is successfully delivered, the buyer will initiate the payment process in accordance with the previously agreed-upon terms. This ensures a seamless and efficient transaction for both parties involved.

I must say, I'm pleasantly surprised. I never imagined that the exporting process could be streamlined to such an extent.



Absolutely, it's never too late to dive into the world of international trade. To gain a deeper insight, I encourage you to register with us and participate in our Export Awareness Programs (EAPs) and we also highly recommend our 6-day Export Management Training Program (EMTP). It's specifically tailored for newcomers to the export scene and covers all the critical aspects you'll need to master.

This is more than helpful. I eagerly look forward to the training programs and hope a fruitful association with the VTPC.



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*Remember,
exporting opens
doors to growth and
global opportunities.
Don't miss out - start
your export journey
today!*



For more details, please visit:

Visvesvaraya Trade Promotion Centre (VTPC)
VTPC Building, Kasturba Road, Bengaluru-560001.
080-2286 0644, 94835 34444

Email: md@vtpc.karnataka.gov.in, vtpckarnataka@gmail.com
Website: vtpc.karnataka.gov.in

 /VTPC-Karnataka 327127997475201/

 @Vtpc_gok

 @Vtpc_karnataka

